ASIAN PAINTS Defending the Throne: When the Market Leader Faces a New Kind of Competition

AIMA–ICRC India Case League 2026 | Marketing Strategy

A decision that could not be postponed

In October 2026, Amit Syngle, Managing Director and CEO of Asian Paints, faced a question that the company's recent recovery had not settled. India's biggest paint maker had returned to stronger sales and improved margins, yet a new competitor was still taking ground. Grasim Industries' Birla Opus, launched in 2024, reported ₹1,661 crore of paints revenue in the quarter ended June 2026, 64% higher than a year earlier. Asian Paints had also grown: its domestic decorative-paints volumes rose 9.0% and value rose 16.6% over the same quarter. Both sets of numbers could be true. What they did not answer was who would ultimately earn an attractive return from India's next decade of decorative-paints growth. [1, 4]

Asian Paints had spent decades building a system that was difficult to replicate: a trusted brand, extensive dealer relationships, tinting and logistics capabilities, a large manufacturing base, and growing links with households through painting and home-improvement services. Birla Opus had entered by investing heavily in precisely the assets that made the incumbent strong. Meanwhile JSW Paints had gained control of Akzo Nobel India, home to Dulux, creating another well-backed challenger. A July 2025 Competition Commission of India (CCI) order had also placed dealer practices under investigation. The CCI had ordered an inquiry into allegations; it had not made a final finding of misconduct. [3, 5, 6]

For the leadership team, matching every competitive offer could keep paint moving through the channel but erode the economics that financed the network. Holding prices and spending less might protect profitability in the short term but allow a rival to become a permanent second choice at the dealer counter. Investing further in services, product innovation and brand preference could create differentiation, but these bets would take time to pay back. Asian Paints needed a defensible 24-month commercial response before the next round of channel decisions and festive demand. The central issue was not simply how to retain share. It was which part of its advantage had to be defended first—and how to do so within the bounds of competition law.

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How the throne was built

Paint is visible everywhere, but choosing it is an infrequent decision for many households. Consumers care about colour, durability, finish and the risk of a disappointing paint job. They may not know which formulation is best or how much paint is required. Dealers stock the assortment, tint colours and arrange availability; painters and contractors often interpret product claims and influence the final selection. A brand can win advertising attention yet lose the sale if a shade is unavailable, if the painter recommends another product, or if the dealer finds a rival easier to sell.
These are characteristics of the route to market, not measured percentages of purchase influence.

Asian Paints built its position by linking product range, branding, distribution and manufacturing discipline. Its FY 2025–26 report stated that it had installed decorative-paints manufacturing capacity in India of 2.29 billion litres per annum, 25 paint manufacturing facilities worldwide and 74 Beautiful Homes stores. It also reported more than 175,000 customers using Beautiful Homes Painting Services during the year, with participation from over 3,900 dealers. The home-improvement business was intended to deepen consumer relationships beyond the paint tin. [2]

These assets offered different forms of advantage. Production capacity could improve availability and economies of scale but also represented capital already committed. Brand equity could sustain preference and realisation, although it could not eliminate dealer economics. A service relationship might give Asian Paints better visibility of customers and painting outcomes, but scaling service profitably called for execution beyond manufacturing and distribution. The more the market changed, the more important it became to determine whether these advantages reinforced one another or required separate investment priorities.

The challenger changed the terms of entry

Aditya Birla Group's paint entry was unusual in its scale. Grasim reported a ₹10,000-crore investment programme for Birla Opus and six greenfield manufacturing plants, with combined installed capacity of 1,332 million litres per annum. In its FY 2025–26 investor presentation Grasim described this as roughly 24% of the organised decorative-paints industry's installed capacity. The figure describes productive capability, not actual sales, utilisation or market share. [3, 7]

Birla Opus pursued a combination of a broad product portfolio, rapid retail presence, tinting-machine access, contractor engagement and brand advertising. Grasim's launch communications said it was installing compact tinting machines without charge to dealers. By the quarter ended March 2026, Grasim reported having billed more than 50,000 dealers and established a presence in more than 11,500 towns. It also reported a network of more than 1,200 exclusive branded franchise stores at that date. By June 2026 the franchise-store count had exceeded 1,450. Grasim's Q1 FY 2026–27 presentation reported 228 products and more than 1,945 SKUs. [4, 7, 8]

The commercial logic was direct. A dealer persuaded to install a rival machine could show another catalogue of colours. A painter introduced to a new range could offer consumers an alternative. A family comparing two brands might respond to a value proposition that went beyond price.

However, having stores, machines, products and installed capacity did not establish that their economics were sustainable. Grasim described Birla Opus as still in an investment phase in which the impact on its parent's earnings was being monitored. Strong sales growth could therefore coexist with a long path to returns. [4]

The rival's momentum was notable precisely because it occurred alongside an apparent recovery at Asian Paints. Grasim stated that Birla Opus held the third-largest position in India's organised decorative-paints industry and that its internally estimated revenue market share improved by about 30 basis points quarter-on-quarter in Q1 FY 2026–27. Including Birla White Putty, Grasim said its combined revenue-market share was approaching the early teens. The company's market-share estimate was not an independently audited industry census, and inclusion of putty changes the denominator and category scope. The case therefore uses market-share direction as competitive evidence, not as a single verified market-share percentage for all firms. [4]

Another challenger arrived through acquisition

In June 2025, JSW Paints announced a transaction to acquire a controlling interest in Akzo Nobel India; the CCI approved a proposed acquisition of up to 75% of the listed business in September 2025. On 10 December 2025, JSW Paints announced it had acquired a 60.76% stake from the seller group.
Together with shares already acquired through the open offer, its holding stood at 61.2%. The transaction placed the established Dulux business under a new Indian group with its own ambitions in decorative paints. [5, 9]

The potential strategic threat differed from Birla Opus. A greenfield entrant could challenge the dealer economics of everyday paint. Dulux brought a recognised portfolio and an existing position in premium products. Whether JSW could integrate the acquired operation, cross-sell through its network and turn complementary propositions into incremental demand remained uncertain. Asian Paints could not assume that one response would work equally well against both kinds of competitor.

Berger Paints remained an incumbent competitor. Its consolidated Q1 FY 2026–27 revenue from operations was ₹3,583.75 crore, up from ₹3,200.76 crore in the corresponding previous-year quarter. These are group-level figures; they do not measure market share in the same way as Grasim's internally estimated decorative-paints market share. The industry's competitive picture therefore had more moving parts than a two-company duel. [10]

The recovery that complicated the diagnosis

Asian Paints entered the new competitive period after a difficult FY 2024–25. Consolidated revenue from operations fell from ₹35,494.73 crore in FY 2023–24 to ₹33,905.62 crore in FY 2024–25, while EBITDA declined from ₹8,272.94 crore to ₹6,578.82 crore. Profit attributable to shareholders dropped from ₹5,460.23 crore to ₹3,667.23 crore. The group also disclosed exceptional items in FY 2024–25; the net-profit movement cannot be explained only by competitive discounts. [11]

The following year brought improvement. Audited consolidated revenue from operations rose to ₹35,583.54 crore in FY 2025–26, and EBITDA improved to ₹7,419.72 crore. Profit attributable to shareholders reached ₹4,325.35 crore. The year-end result suggested that Asian Paints could recover earnings even with stronger competition. It did not establish whether the industry had settled into a durable balance. Annual EBITDA, which includes other income in the company's statement, should not be confused with the PBDIT margin reported in its quarterly press release. [1]

The first quarter of FY 2026–27 was stronger still. Asian Paints reported consolidated net sales of ₹10,521.4 crore, 17.9% higher year-on-year. Profit before depreciation, interest, tax and other income (PBDIT) was ₹2,168.8 crore, a 20.6% margin on net sales. Domestic decorative-paints volume growth of 9.0% accompanied value growth of 16.6%. Management attributed its performance to measured price action, mix, sourcing and formulation efficiencies, cost control and service propositions. None of these data points, taken alone, proved that every business segment had regained competitive momentum. [1]

One figure deepened the puzzle. Asian Paints' annual report showed a gross-revenue-to-net-revenue reconciliation in which discounts, rebates, credits and incentives increased from ₹8,030.72 crore in FY 2024–25 to ₹9,163.30 crore in FY 2025–26. Gross revenue also grew, from ₹41,888.66 crore to ₹44,743.74 crore. As a proportion of gross revenue, the aggregate deductions rose from approximately 19.2% to 20.5%. The category aggregates several commercial items; it is not a disclosure of incremental dealer discounts, nor proof of any anti-competitive conduct. Nevertheless, it drew attention to a question management could not ignore: how much of reported top-line growth reflected stronger consumer demand and mix, and how much required commercial spending along the route to market? [1]

The counter, the contractor and the consumer

Traditional paint-market logic gave the dealer counter a central role. A household might remember a brand from television advertising, yet the actual purchase depended on colour mixing, delivery, credit arrangements and the professional who would apply the product. Birla Opus's new tinting machines and franchise stores offered alternative routes for colour selection and order fulfilment.
Asian Paints' own systems still provided important scale, but a dealer able to serve multiple brands could compare gross earnings, inventory risk, promotional support and operational convenience.

Painters and contractors introduced a second, distinct source of influence. Their preferences can reflect ease of application, finish, reliability, availability, training, service and incentives. Grasim's FY 2025–26 investor presentation referred to around 450,000 active contractors and painters supporting its secondary-sales efforts in Q4 FY 2025–26. That reported measure should not be compared directly with an Asian Paints participation or academy-training count, because the definitions differ. Nor does enrollment or training prove that a professional consistently recommends one brand. [8]

The consumer represented a third battleground. Asian Paints had progressively broadened its offering from paints into waterproofing, decor and installation-related services. The annual report recorded more than 175,000 customers using its painting service and over 40,800 using its Trusted Contractor Service in FY 2025–26. Those services potentially brought the company closer to the household before and after a paint purchase. Their strategic value would depend on cost to serve, conversion into product sales, repeat

engagement and the ability to provide consistent service quality across locations. [2]

These three groups—dealer, painter and household—did not always have identical interests. A price reduction attractive to the buyer might compress dealer economics. Higher channel incentives could encourage stocking but absorb funds available for product research or customer service. A premium upgrade could improve mix while leaving a rival room to win first-time buyers in the economy segment. In that sense, the marketing problem was also an allocation problem: whom should the leader persuade, through which proposition, and at what sustainable cost?

The regulatory boundary around competitive defence

The most sensitive aspect of the decision involved channel conduct. On 1 July 2025, the CCI ordered the Director General to investigate Asian Paints after information was filed by Grasim's Birla Paints Division. The order discussed allegations that dealers stocking competing products faced restrictions or differential terms and that third-party service providers encountered pressure not to work with the entrant. The CCI considered the information sufficient to direct an investigation under Section 26(1) of the Competition Act. Such an order is a prima facie procedural step, not a final adjudication that the alleged conduct occurred. [6]

Asian Paints contested the investigation order. The Bombay High Court considered a petition in September 2025, and a subsequent special leave petition before the Supreme Court was dismissed as withdrawn on 13 October 2025. These court proceedings do not establish the substantive merits of the competition allegations. For the case's October 2026 decision point, the publicly verified record supports describing a regulatory investigation and associated legal uncertainty; it does not support asserting a final infringement finding. [12, 13]

The strategic consequence was not that dealer relationships had become irrelevant. Rather, management had to distinguish competition on service, technology, delivery and transparent commercial value from methods that could be challenged as exclusionary. A response built solely around securing the dealer counter at any cost would carry legal and reputational exposure in addition to its financial expense.

Which advantage was worth protecting?

By October 2026, a simplistic response looked increasingly risky. Aggressive economy-segment pricing might make entry harder for competitors, but it could reset expectations in a business where consumers were infrequent purchasers. Extra dealer incentives could sustain throughput but become increasingly expensive as dealers carried more brands. Heavy advertising might defend salience without directly improving tinting access or the recommendation at the job site. Services and higher-performance products might create longer-lasting differentiation, yet they would not immediately answer a rival that was adding physical capacity and opening retail outlets.

The numbers pulled in different directions. Asian Paints' first-quarter sales growth and margin improvement showed room for resilience; Birla Opus's rapid growth and rising estimated share showed that the challenger was not disappearing. Installed capacity was not equal to sales, but its scale raised the stakes for all firms. The CCI process narrowed the acceptable range of defensive tactics. The Dulux acquisition raised the

possibility of competition for premium customers rather than only the price-sensitive buyer.

In the reconstructed leadership decision, Syngle had to decide where the company should concentrate the next 24 months of commercial effort. Should it spend to hold the breadth of its dealer-led network, selectively defend vulnerable products and regions, or redirect disproportionate resources toward consumer preference, services and differentiated products? How should it judge whether the strategy was working when competitors reported market share using different definitions, annual financial statements combined businesses, and many commercially decisive variables—counter share, painter recommendation, repeat purchase and dealer economics—were not public?

A credible plan would have to reconcile three outcomes that could move in opposite directions: the scale and quality of customer demand, the attractiveness of the economics for the people who sell and apply paint, and the returns that Asian Paints could earn without breaching the rules of fair competition. Winning one would not guarantee the others. The question for the board was whether the moat Asian Paints had built should be defended in its existing form, or rebuilt around a different basis of advantage.

ANNEXURES

Annexure A. Asian Paints — audited consolidated financial performance

Table A1. Consolidated revenue, EBITDA and profit, FY 2023–24 to FY 2025–26 (₹ crore, financial years ended 31 March).

Metric	FY 2023–24	FY 2024–25	FY 2025–26
Revenue from operations	35,494.73	33,905.62	35,583.54
EBITDA (audited income statement)	8,272.94	6,578.82	7,419.72
EBITDA / revenue from operations*	23.3%	19.4%	20.9%
Profit after tax, consolidated	5,557.69	3,709.71	4,394.69
Profit attributable to owners	5,460.23	3,667.23	4,325.35

Sources: [11] Asian Paints FY 2024–25 Board's Report, consolidated table for FY 2023–24 and FY 2024–25; [1] FY 2025–26 audited consolidated statement, pp. 462–463 (with FY 2024–25 comparator). *Case-writer calculation; figures rounded to one decimal. Annual EBITDA includes other income and must not be treated as identical to the PBDIT measure in Annexure B.

Annexure B. Asian Paints — the latest disclosed quarterly position

Table B1. Consolidated financial metrics and domestic decorative growth, quarter ended 30 June 2026, with prior-year comparative.

Metric	Q1 FY 2025–26	Q1 FY 2026–27
Consolidated net sales (₹ crore)	8,924.5	10,521.4
PBDIT, excluding other income (₹ crore)	1,625.0	2,168.8
PBDIT / net sales	18.2%	20.6%
Net profit attributable to owners (₹ crore)	1,099.8	1,539.3
Domestic decorative volume growth, YoY	—	9.0%
Domestic decorative value growth, YoY	—	16.6%

Source: [14] Asian Paints press release dated 29 July 2026, pp. 1–2. Net sales and PBDIT are company press-release measures, not audited full-year "revenue from operations" and EBITDA. Growth rates compare with the same quarter one year earlier.

Annexure C. Birla Opus — the scale and speed of the entry

Table C1. Operating indicators disclosed by Grasim Industries; not a like-for-like comparison with Asian Paints' financial consolidation.

Indicator	Company-reported value	Reference period
Installed paints capacity	1,332 million litres / year	**FY 2025–26 / Q1 FY 2026–27**
Paints revenue	₹1,661 crore	Q1 FY 2026–27
Revenue growth	64% year-on-year; 17% sequential	Q1 FY 2026–27
Estimated revenue market-share change	~30 basis points quarter-on-quarter	Q1 FY 2026–27; Grasim estimate
Exclusive branded franchise outlets	More than 1,450	Q1 FY 2026–27
Product portfolio	228 products; 1,945+ SKUs	Q1 FY 2026–27
Dealers billed	More than 50,000	Q4 FY 2025–26
Geographical presence	11,500+ towns	Q4 FY 2025–26
Active contractors / painters	Approximately 450,000	Q4 FY 2025–26

Sources: [4] Grasim Q1 FY 2026–27 results release, 12 August 2026; [8] Grasim Q4 FY 2025–26 investor presentation, Paints section. Revenue market share is Grasim's internal estimate; capacity is installed ability, not sales. "Active" professionals, billed dealers, branded outlets and town presence are separate measures and should not be added together.

Annexure D. Asian Paints — breadth beyond paint

Table D1. Selected company-reported scale and customer-contact indicators, FY 2025–26.

Indicator	Reported value
Installed in-house decorative-paints capacity in India	2,290,000 kilolitres / year (2,290 million litres / year)
Paint-manufacturing facilities worldwide	25
Beautiful Homes stores in India	74
Beautiful Homes Painting Services customers	More than 175,000
Dealers participating in Painting Services	More than 3,900
Trusted Contractor Service customers	More than 40,800
Beautiful Homes Academy participants trained	More than 945,000

Source: [2] Asian Paints Integrated Annual Report 2025–26, at-a-glance, services and relationship sections. The Academy training figure is a participant count for a different activity; it is not the number of active contractors recommending Asian Paints.

Annexure E. Net revenue and the commercial-spending question

Table E1. Asian Paints' audited reconciliation from gross revenue to net revenue recognised from contracts with customers (₹ crore).

Metric	FY 2024–25	FY 2025–26
Gross revenue	41,888.66	44,743.74
Less: discounts / rebates / credits / incentives	8,030.72	9,163.30
Net revenue from contracts with customers	33,857.94	35,580.44
Aggregate deductions as % gross revenue*	19.2%	20.5%

Source: [1] Asian Paints FY 2025–26 consolidated financial statements, Note 23C, p. 517. *Case-writer calculation: total

discounts/rebates/credits/incentives divided by gross revenue. These are aggregate accounting items across the consolidated group, not a published measure of dealer margins, painter incentives or allegedly exclusionary conduct; they must not be treated as such.

Annexure F. A second challenger and the regulatory record

Table F1. Verified chronology of major competitive and legal developments (public record through 20 October 2026).

Date	Development	Primary document
2024	Birla Opus launched with a large-scale greenfield investment and an offer of free compact tinting machines to dealers.	Grasim [7]
1 July 2025	CCI directed investigation of Asian Paints on information filed by Grasim's Birla Paints Division; allegations not proven.	CCI [6]
16 September 2025	CCI approved JSW Paints' proposed acquisition of up to 75% of Akzo Nobel India.	PIB/CCI [9]
13 October 2025	Supreme Court dismissed as withdrawn Asian Paints' special leave petition in procedural litigation concerning the investigation order.	Supreme Court [13]
10 December 2025	JSW Paints completed acquisition of 60.76% of Akzo Nobel India from sellers, taking total holding to 61.2%.	JSW [5]
29 July 2026	Asian Paints announced Q1 FY 2026–27 net sales of ₹10,521.4 crore and domestic decorative volume growth of 9.0%.	Asian Paints [14]
12 August 2026	Grasim disclosed Q1 FY 2026–27 Birla Opus revenue of ₹1,661 crore and company-estimated share gain of ~30 bps quarter-on-quarter.	Grasim [4]

Sources correspond to the numbered reference list. This chronology records procedural events and company disclosures; it does not establish a later CCI finding, nor claim the investigation had formally closed.

Annexure G. Competing signals — what the data can and cannot show

Table G1. Selected indicators and the comparability limitation facing the strategy team.

Indicator	Reported figure	Interpretive limitation	Source
Asian Paints domestic decorative volume growth	9.0% YoY, Q1 FY 2026–27	Indicates segment volume growth, not national market-share change.	[14]
Asian Paints consolidated PBDIT margin	20.6%, Q1 FY 2026–27	Quarterly profitability measure across the consolidated company; not decorative-only margin.	[14]
Birla Opus paints revenue	₹1,661 crore, Q1 FY 2026–27	Grasim segment measure; not directly comparable with Asian Paints group net sales.	[4]
Birla Opus revenue-market-share gain	About 30 bps QoQ, Q1 FY 2026–27	Management estimate; market definition and estimation method matter.	[4]

Berger Paints consolidated revenue	₹3,583.75 crore, Q1 FY 2026–27	Group revenue, not verified decorative-paints market share.	[10]
Asian Paints aggregate deductions from gross revenue	20.5% in FY 2025–26	Includes multiple types of deductions; does not isolate promotional response.	[1]

Sources: [1], [4], [10], [14]. Comparability cautions supplied by case writer. The missing commercial variables—including dealer throughput, retailer-level counter share and recommendation share—are not invented.

Sources and verification notes

Primary-document sources were checked for the period available at the case decision date. Numbered citations used in the running narrative correspond to the following official company, stock-exchange or regulator records. All URLs were retrieved for preparation of this case; readers should access the latest official filing when using the case after the stated cut-off.

[1] Asian Paints, Integrated Annual Report FY 2025–26, audited Consolidated Statement of Profit and Loss and Note 23C (pp. 462–463 and 517). https://static.asianpaints.com/content/dam/annual-report-2526/pdf/Consolidated.pdf

[2] Asian Paints, Integrated Annual Report FY 2025–26, at-a-glance, business and services statistics. https://www.asianpaints.com/content/annualreport/annual-report-25-26.html

[3] Grasim Industries, Paints business profile and installed capacity. https://www.grasim.com/about-us/our-businesses/paints

[4] Grasim Industries, Q1 FY 2026–27 financial results and Birla Opus business update, 12 August 2026. https://www.grasim.com/media/press-releases/grasim-results-q1fy-2026-27

[5] JSW Paints, press release: Acquisition process for Akzo Nobel India completed, 10 December 2025. https://www.jsw.in/newsroom/press/jsw-paints-completes-the-acquisition-process-of-akzo-nobel-india/

[6] Competition Commission of India, Case No. 32/2024, Section 26(1) investigation order dated 1 July 2025; summary in official Fair Play publication. https://www.cci.gov.in/images/publications_fairplay/en/fairplay-vol54-english-version1761820416.pdf

[7] Grasim Industries, launch release on Birla Opus investment, six-plant programme and dealer tinting machines, 2024. https://www.grasim.com/media/press-releases/aditya-birla-group-set-disrupt-paint-industry-40-percent-addition-industry-capacity-birla-opus

[8] Grasim Industries, Q4 FY 2025–26 earnings investor presentation (Paints business slides). https://www.grasim.com/Upload/PDF/grasim-earnings-investor-presentation-q4fy26.pdf

[9] Press Information Bureau / CCI, approval of proposed JSW Paints acquisition, 16 September 2025. https://www.pib.gov.in/PressReleasePage.aspx?PRID=2167330

[10] Berger Paints India, Q1 FY 2026–27 consolidated financial filing as reported 5 August 2026 (investor materials). https://www.bergerpaints.com/investors/download

[11] Asian Paints, FY 2024–25 Board's Report, audited consolidated summary and prior-year comparison, p. 197. https://static.asianpaints.com/content/dam/annual-folder-2425/pdf/Board_s%20Report.pdf

[12] Bombay High Court, Asian Paints Ltd. v. Competition Commission of India, judgment dated 11 September 2025. https://indiankanoon.org/doc/185874574/

[13] Supreme Court of India, Asian Paints Ltd. v. CCI, order dated 13 October 2025, SLP(C) 28923/2025 (withdrawal). https://indiankanoon.org/doc/36206691/

[14] Asian Paints, press release: Q1 FY 2026–27 consolidated financial results, 29 July 2026. https://www.asianpaints.com/content/dam/asianpaints/website/secondary-navigation/press-releases/2026-2027/Asian-Paints-Press-Release-Q1FY27.pdf

Verification conventions. (i) Annual financial information is based on the audited consolidated statements and is not interchanged with press-release net-sales or PBDIT definitions. (ii) All Birla Opus market-share percentages or changes are attributed to Grasim as internal estimates. (iii) The CCI order records an investigation, not a final infringement finding. (iv) No uniform public dataset was

verified for a complete FY 2026–27 industry market-share table, dealer counter share, dealer margins or actual painter recommendation share; accordingly none is invented. (v) Calculated ratios in the annexures are labelled.